

Competition and Strategy in the U.S. Beer Industry

Prepared for: Marketing and Strategy Teams at U.S. Brewing Companies

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Recommendation Report

Introduction:

The American beer industry is at a tipping point. Beer, once a dominant leader in the alcohol space, now competes on crowded shelves filled with canned cocktails, hard seltzers, fermented malt beverages, and craft imports. Beer also faces economic uncertainty surrounding steel and aluminum tariffs, supply chain instability, and consumer spending power decreasing. Beer as a category is losing in market share while the total alcohol beverage market continues to grow. (Brewers Association, 2024.)

This report has been prepared for marketing and strategy teams working at U.S. brewing companies. This report aims to help teams with keeping brands relevant, profitable, and looking for long term growth. The sections that follow examine the history of the industry and current path, the current competitive and economic landscape, and the strategic options that companies can explore as they look into the future. The goal of this report is to give relevant background information for strategy and marketing professionals to use in their future endeavors. This report also aims to provide strategic suggestions that can help declining brands improve their situation moving forward.

Findings:

Brief Alcohol Industry History:

The modern craft beer movement can be traced to Fritz Maytag purchasing Anchor Brewing Company in 1965 (Beer Connoisseur, 2025). The moment was furthered in 1978 when Jimmy Carter signed H.R. 1337 into law, which legalized homebrewing. This allowed skilled brewers to create new products and sell their beer commercially (Brewers Alliance, 2025).

Throughout the 1990's and 2000's, craft brewing continued to grow. In 2024 the number of operating breweries had grown to over 9,000 (Brewers Association, 2025).

All products and industries move through introduction, growth, maturity, and decline in the life cycle. Beer is becoming a mature industry with slowing growth, market consolidation, and price competition. (Harrigan, 1983). Navigating through this industry stage requires companies to make strategic decisions about their place in the market and how they can stand out in the saturation.

Beer has shared its space in the alcohol market with wine and spirits, but more recently the market has shifted to being more dominated by cocktail culture and pulling occasions away from beer (IWSR Drinks Market Analysis, 2023). Hard cider was briefly very successful in the early 2010s, but it has since struggled securing on premise accounts and distribution (Beverage Industry, 2025). Flavored malt beverages, like hard lemonades and teas, created disruption in the industry in the early 2000s, pulling drinkers away from more traditional beverages. In the late 2010s hard seltzers like White Claw and Truly have attracted more health-conscious consumers. In more recent years RTD (ready-to-drink) canned cocktails have captured a strong share of the market.

Current Market:

Currently AB InBev, holds a high share in the U.S. market with 40.4% market share as of 2023 (Statista, 2025). AB InBev owns flagship American brands Budweiser and Bud Light, imports like Stella Artois and Corona, and craft acquisitions like Goose Island. Molson Coors Beverage Company holds the second-largest U.S. market share with 25.3% of the U.S. market share as of 2023 (Statista, 2025). The company's portfolio includes beers like Coors, Coors Light, Miller Lite, and Blue Moon, with additional imports and flavored malt beverages.

Constellation Brands holds 9% of beer market share primarily driven by Corona and Modelo which they have distribution rights to in the U.S. Heineken captures approximately 4% of U.S. market share through its imports.

Volume and Sales Trends:

Based on Circana sales data for the 52 weeks ending April 20, 2025, the overall beer market saw a dollar sales decrease of 1.2% and sales volume decreased by 3.2% during that time. In 2024, beer was down 0.6% over the previous year. Beer did better compared to total wine which declined 2.2% over the previous year. Spirits grew 2.8% over the 52 weeks driven by premixed cocktails and seltzers ([Bevinindustry.com](https://bevinindustry.com), 2025).

According to Circana data, craft beer was down 3.3% in dollar sales in 2024 compared to 2023 ([Bevinindustry.com](https://bevinindustry.com), 2025). The craft beer segment produced 23.1 million barrels in 2024 which is down 3.9% from 2023. Craft beer maintained a 13.3% share of U.S. beer volume and accounts for 24.7% of total beer market retail dollar sales (Brewers Association, 2025). The growth driver within craft beer continues to be IPAs. Previous innovation was seen by Hazy IPAs, but recent trends have shown a greater focus on traditional ‘West Coast’ IPAs. Craft lager is continuing to drive a portion of the market as well. ([Bevinindustry.com](https://bevinindustry.com), 2025).

Non-alcoholic beer represents the fastest-growing segment in the beer category achieving 26.8% dollar sales growth adding to \$508.6 million and a 23.5% case sales growth for the 52 weeks ending April 20, 2025 ([Bevinindustry.com](https://bevinindustry.com), 2025). Non-alcoholic beer represents just 1% of total beer dollar sales but holds 2.4% in distribution. As more entrants come into the space it will be harder for brewers to get distribution. Athletic Brewing Company is the dominant brand in the category with \$93 million in sales for 2024.

From this data it can be gathered that the overall beer industry is on a decline. Growth has slowed and competition continues to be expanded within beer. Volume of sales is dropping faster than dollar sales which shows that there are underlying issues within the industry making it seem weak. The one bright spot in the industry is non-alcoholic beer, which is growing, but it might not be the strongest strategy to enter the space if you cannot differentiate yourself from other industry players.

Competitors Volume and Trends:

A key competitor for the beer industry are Flavored Malt Beverages (FMBs). These beverages have grown 3% in dollar sales and 1.4% in case growth for the 52 weeks ending April 20, 2025 ([Bevindustry.com](https://www.bevindustry.com), 2025). Within the FMB category, hard seltzers remain the largest segment but experience instability. Hard tea is the second-largest FMB segment with continued growth as Twisted Tea leads that category. The rise of FMB indicates that flavor is an important attribute that consumers are considering when purchasing ([Bevindustry.com](https://www.bevindustry.com), 2025). Another competitor of beer, hard cider is underperforming with 1.8% dollar sales decline in 2024 ([Bevindustry.com](https://www.bevindustry.com), 2025). The category has challenges gaining distribution in off premise accounts such as convenience stores and struggles to acquire tap handles at bars and restaurants ([Bevindustry.com](https://www.bevindustry.com), 2025).

Consumer Behavior Shifts:

Consumer behavior trends are shifting increasingly towards health and wellness considerations. Circana data from April 2024 found that consumers drink less alcohol mostly for improving their physical health. Younger drinkers show greater interest in flavor variety including Mexican imports and flavored malt beverages, and traditional domestic lagers are not as appealing to these consumers ([Bevindustry.com](https://www.bevindustry.com), 2025). Consumers have experienced a

fundamental shift in how they think about alcohol (Beverage Industry, 2025). Customers are shifting to drinking less or healthier beverages primarily to improve their physical health according to Circana data.

Younger drinkers are also showing a stronger preference for flavor variety. They are gravitating toward Mexican imports and FMBs rather than traditional domestic lagers (Beverage Industry, 2025). Gen Z and Alpha are more individualistic, experimental and less brand loyal than older generations (Alverson, 2026). Flavored forward innovations in the beverage space can be tailored toward Gen Alpha's preferences to build brand loyalty (Alverson, 2026).

Beer brands need to fully understand these consumer shifts beyond just demographic analysis. They need to do deeper analysis and research into their future and current customer by conducting individualized research studies into their targets. Learning about preferences can help brands make strategic decisions about the future of their brand and products.

Strategic Options Going Forward:

Strategy 1: Diversification Beyond Beer

Strategy 1 focuses on diversifying into beer adjacent beverage categories. Brands should leverage current production, distribution, and brand assets when diversifying. Data shown above shows that consumers are shifting towards RTD cocktails and FMB. Companies can leverage the production networks they already have to expand into these categories and capture the shifting audience. Companies should also consider expanding into cannabis beverage opportunities as this is a relatively untapped market by established alcohol beverage companies. Early entrants into this market have a potentially huge advantage. Potential risks of this strategy include loss of authenticity, and dilution. Potential advantages of this strategy include ease of entrance with

current distribution channels and relationships. If consumers see this as authentic then they will trust the new products. If consumers see expansion as a gimmick it might dilute the beer brand's equity.

Strategy 2: Health-Forward Innovations:

Strategy 2 focuses on confronting health trends and positioning beer as a compatible beverage for healthy lifestyles. This approach focuses on innovation in non-alcoholic products, and lower-calorie beer. It also involves marketing and communication messages about moderation and wellness. Companies should focus on investing and developing non-alcoholic versions of all of their products and ensure that taste and quality are up to their alcoholic product standards. They also need to invest in advertising that promotes non-alcoholic beer as not just an alternative, but a beverage that you want to drink. Companies should also develop functional beer products both with less calories and carbs and other products that are focused on providing real health benefits to consumers. Companies should also invest in sustainability when creating their products and sustainability messaging about their products. These messages should be authentic and transparent. A potential risk for this strategy would be consumers not believing these efforts are credible. There are also taste and quality issues that can arise when trying to develop new products. Companies would gain early mover advantages in the health forward space and potentially attract younger consumers to their brands with new messaging.

Conclusion:

The U.S. beer industry has entered into the lifecycle stage of maturity. Growth has stagnated and volume is declining. The market is more saturated than ever with growth only showing in imports and non-alcoholic beer. The future drinker has become more health conscious and desires flavorful beverages, which leads them right to beer's competitors in other segments of the

alcohol industry. These shifts are reflecting shifts in how Americans are drinking and they require a strong response from beverage companies competing in the space.

The beer industry is entering into a period of transformation. There is opportunity for companies who are willing to transform with the industry. The data is showing that there are small opportunities for growth in non-alcoholic beverages and there's an opportunity for flavored beverages. If marketing and strategy teams dive into these problems with open minds willing to understand all the data that is presented, then they have the ability to develop and execute a focused strategy that can propel them into the future.

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